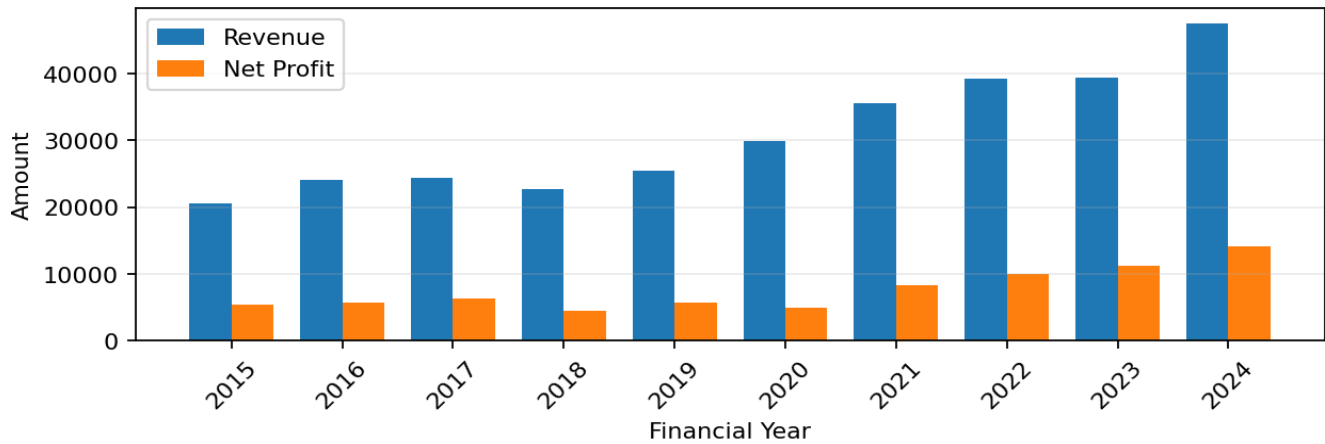


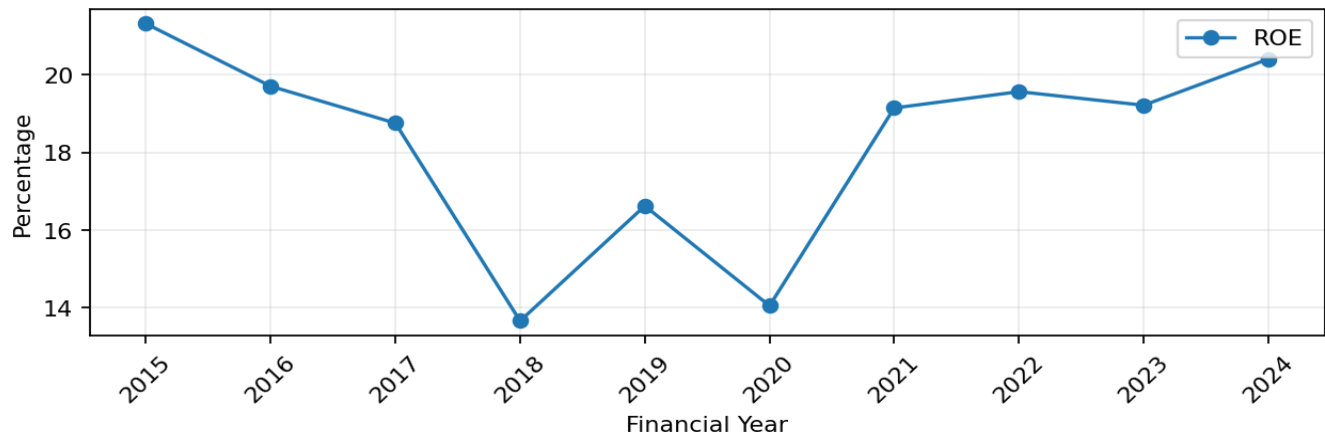
REC Ltd (RECLTD)

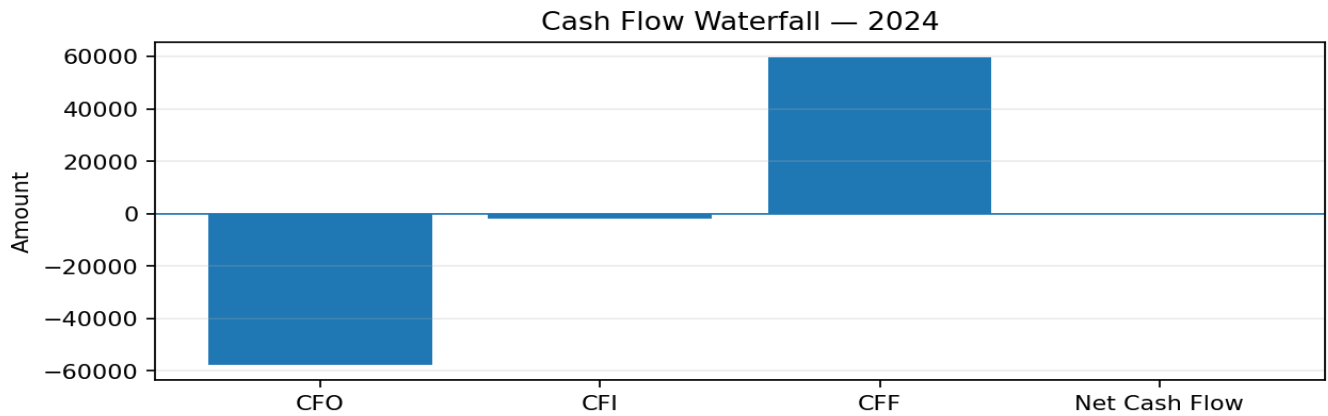
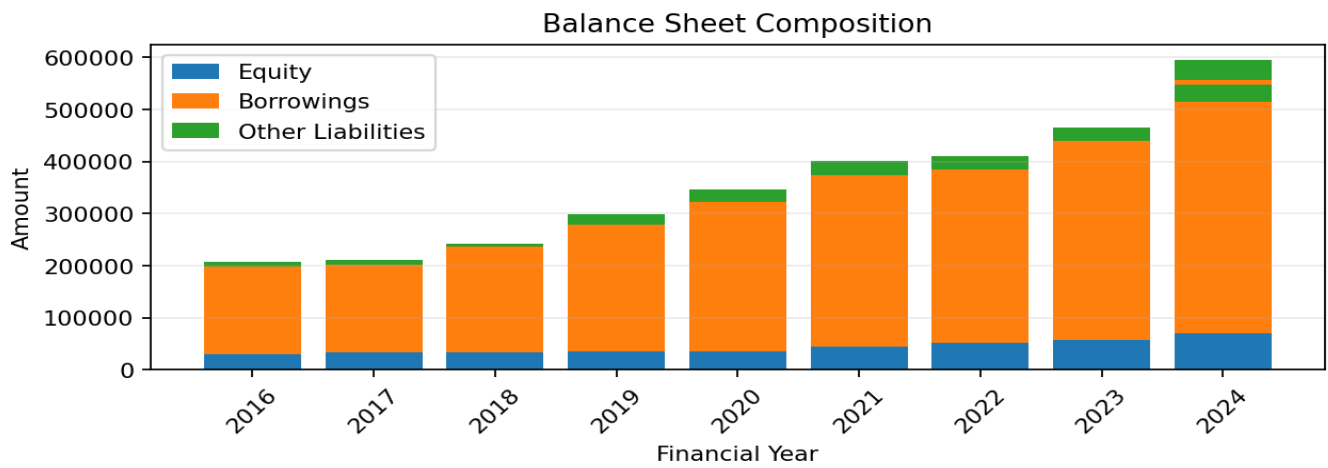
Revenue CAGR 11.5%	PAT CAGR 24.5%	ROE 20.4%
ROCE 10.0%	Debt/Equity 6.42	FCF Conversion -357.7%

10-Year Revenue and Net Profit



ROE Trend





Capital Allocation: Distress Signal

Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Profits growing faster than revenue demonstrate improving operating leverage and scale benefits.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Cons

- Net debt of approximately 8.76 times EBITDA represents high leverage and limits financial flexibility.
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality.